

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-04

ORLEANS INTERNATIONAL, INC.,

Complainant,

v.

HAPAG-LLOYD AG,

Respondent,

**RESPONDENT'S REPLY TO COMPLAINANT'S
MEMORANDUM IN OPPOSITION TO RESPONDENT'S MOTION TO DISMISS**

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Respondent Hapag-Lloyd AG (“Hapag” or “Respondent”), through undersigned counsel, hereby replies to Complainant Orleans International, Inc.’s (“Orleans” or “Complainant”) opposition (“Response”) to Respondent’s Motion to Dismiss the complaint in this proceeding (“Complaint”).

INTRODUCTION

Complainant’s Response confirms the defects identified in Respondent’s Motion to Dismiss. On each ground for dismissal, Complainant relies on legal mischaracterizations, internally inconsistent allegations, and facts and exhibits presented for the first time in its Response rather than in the Complaint. That is not a valid answer to a motion to dismiss, but an implicit acknowledgment that the Complaint cannot stand on its own.

As to the refusal to deal claim, Complainant improperly expands the statute by recasting a dispute over demurrage and detention charges as a refusal-to-deal claim. The authorities it cites are distinguishable because they involve mixed conduct that includes failures to meet volume

commitments, provide space allocations, or engage in future contract negotiations. Complainant's theory also conflicts with the Commission's regulatory framework, which prohibits carriers from negotiating rates and charges after cargo receipt. A refusal-to-deal claim cannot rest on refusing to undergo conduct that the Commission's rules do not permit.

As to timeliness, Complainant incorrectly equates the date of payment with the date of accrual and, in doing so, takes a position that conflicts with its own allegations. Complainant alleges it knew of the underlying issues by mid-2021 yet now argues for the first time in its Response that its claims accrued when payment was made within the tolling period. Those positions are irreconcilable, and Complainant's reliance on Exhibit A and pre-suit communications outside the pleadings does not cure that defect.

As to scope, Respondent does not contend that Complainant was required to provide a container-by-container analysis at the pleading stage. It contends only that the Complaint was required to identify, clearly and concisely, the shipments, containers, or invoices at issue so that the claims could be understood and defenses preserved. Complainant's own submission confirms that this information was available, as Exhibit A contains the very bill-of-lading and container-level detail Complainant omitted from the Complaint. Its need for a post hoc disclosure underscores why the Complaint fails to satisfy the Commission's pleading requirements.

For these reasons, and as set forth in detail below, the Complaint should be dismissed in its entirety. In the alternative, the Commission should order the Complaint to be amended pursuant to 46 C.F.R. § 502.62(a)(3)(v) and require Complainant to supply the necessary factual predicate needed to sufficiently plead cognizable claims with a clear and concise scope.

ARGUMENT

Complainant's Complaint must be dismissed because Complainant's Response does not cure where the Complaint (i) fails to plead the factual predicate needed for its refusal to deal claim, (ii) is time-barred by Complainant's own admissions, and (iii) lacks the clear and concise factual statement that Commission rules require.

I. Complainant's Refusal to Deal Theory Is Legally and Factually Deficient.

In Response to argument that the Complaint lacks a factual predicate to show Respondent denied, restricted, or otherwise impeded Complainant's access to vessel space, Complainant's argues that it does not need to because nothing expressly limits the prohibition on refusal to deal or negotiate to extend to a carrier's practice with respect to detention or demurrage. Resp. p. 5. Complainant's citation to the presence of demurrage and detention claims in mixed cases like *OJ Commerce* are distinguishable because their claims under 46 U.S.C. § 41104(a)(10) are supported by a factual predicate where a common carrier also failed to meet minimum volume commitments, provide space allocation, or refused to engage in future contract negotiations. See *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2023 WL 3969857 (FMC CALJ June 7, 2023), aff'd, 2024 WL 5714569 (FMC Aug. 27, 2024). In contrast, the Complainant's complaint seemingly seeks relief under Section 41104(a)(10) solely on a factual predicate for the unreasonable assessment of demurrage and detention. This is misplaced because 46 U.S.C. § 41104(a)(2) provides that "a common carrier shall not provide service in the liner trade that is—not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract . . .". 46 C.F.R. § 520.7(c) further requires that "rates, charges, and rules applicable to any given shipment must be those in effect on the date the cargo is received by the common carrier . . .". Complainant's reliance on an averment of an alleged refusal at destination after Respondent received the cargo is

insufficient to set forth its claim for refusal to deal under Section 41104(a)(10). This is because a cognizable claim cannot lie for refusing to deal or negotiate at a point where the Commission has expressly prohibited dealing or negotiating on rates and charges after container receipt at origin. *See* 46 U.S.C. § 41104(a)(2); *see also* 46 C.F.R. § 520.7(c).

Complainant argues that Ocean Shipping Reform Act of 2022 provides no restriction to the application of Section 41104(a)(10) to a carrier's detention or demurrage practices, but it did add the new requirement for carriers to certify compliance with the Commission's Interpretive Rule on Demurrage and Detention promulgated in 2020 (the "Interpretive Rule"). Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (2022). The Interpretive Rule clarified that ocean carriers only have the flexibility to mitigate charges (by waiver, refund, or free time extension) to the extent they would otherwise violate 46 U.S.C. § 41102(c).¹ *See* Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, *645 (May 18, 2020). This flexibility to mitigate otherwise unreasonable charges under Section 41102(c) cannot be viewed as a carrier's license to deal or negotiate as the Commission was also clear that it is "equipped to distinguish legitimate resolution of demurrage and detention disputes from sham settlements and illegal rebates." *Id.*

As to Complainant's citations to the active docket and Respondent's prior cases before the Commission, simply because there are cases currently before the Commission that have not challenged or been dismissed as to allegations of a refusal to deal in the context of demurrage and detention does not foreclose the Commission's ability to independently review the instant motion on its own merits. Similarly, Respondent's choice to not pursue a motion to dismiss in a prior case does not foreclose its right to bring a motion to dismiss in future unrelated matters before the

¹ This is precisely the statute the underlies Complainant's other claim for relief regarding unreasonable assessment of demurrage and detention charges. *See* Compl. ¶¶ 52-54.

Commission.

II. Complainant's Attempt to Avoid the Time Bar Relies on Conflicting Allegations and Allegations Outside the Complaint.

Complainant's claims for the first time in its Response that its case relates "entirely to detention and demurrage charges assessed by Respondent that were **paid by Complainant within the three years prior to the June 28, 2024**, effective date of the Parties' tolling agreement."² Resp. p. 9 (emphasis added). However, Complainant's treatment of payment as equivalent with the standard of "when a complainant knew or should have known that it had a cause of action" is misguided. *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2013 FMC LEXIS 5, at *10-11 (FMC Jan. 31, 2013). These are not the same things. Even taking the unpled alleged fact that Complainant's payments were made after June 28, 2021, Complainant also avers that it knew by Mid-2021. Compl. ¶¶ 31, 33. Plaintiff pled as fact that it knew of the issues by Mid-2021 and now only claims knowledge as of payment dates after June 28, 2021. Resp. at 9; *citing to* Compl. ¶ 51. These two conflicting averments cannot factually exist in tandem and thus their conflicting nature shatters plausibility and raises timeliness concerns.

Respondent moved to dismiss the entire Complaint given the lack of options to resolve this contradiction and distinguish which claims are potentially time barred. Seemingly lacking the same, Complainant reached outside of its Complaint. However, Exhibit A and other additional facts Complainant offers in its Response do not resolve this contradiction; they underscore it. Complainant admits through footnote 5 of its Response that Exhibit A includes a "handful" of containers with gate-out and/or gate-in dates falling more than three years before the tolling agreement's effective date. Footnote 5, Resp. at 14. Complainant's trivialization of Respondents'

² Complainant asserts in its Response that all payments were made after June 28, 2021, for the containers that comprise its claim, but such an averment is nowhere to be found in its Complaint. *See* Resp. at 9; *contrast to* Complaint.

concerns by asserting that only a “handful” of containers are at issue is an assertion based on information Respondent could not possibly have known until Complainant chose to disclose it for the first time in its Response. That admission only highlights the problem: these potentially time-barred claims are not clearly identified in the Complaint, even though Respondent risks waiving defenses if they are not preserved timely. This omission is not a minor pleading defect as it goes to the heart of why the Commission requires a clear and concise factual statement in the first place—so a respondent can understand the claims asserted, answer them intelligently, and preserve available defenses. Had Respondent accepted Complainant’s invitation to wait for discovery, Respondent would have had no way of knowing that Complainant was pursuing claims involving these “handful” of containers with time-bar implications. A complaint cannot withhold critical facts as to the scope of its claim and then excuse that omission by claiming the opposing party might later uncover them elsewhere.

Complainant’s fallback is even more telling. Rather than point to allegations plead in the Complaint, Complainant argues that Respondent should already be aware of the underlying details because Complainant shared them before filing suit. Resp. pp. 14-15. But extra-record communications cannot cure a deficient pleading, provide the clarity and conciseness the Commission’s rules require, or substitute for allegations that should have appeared in the Complaint itself. Complainant cannot avoid its pleading burden by suggesting Respondent should piece together the scope of its case from materials and conversations outside the record.

III. Complainant’s Vague and Equivocal Allegations Fail to Define the Scope of Its Claims Resulting in its Failure to State a Claim.

Complainant confuses Respondent argument that Complainant failed to factually identify the scope of its claims with Respondent’s rationale for why such identification is essential. A container-by-container analysis cannot be prepared without knowing which containers the analysis

is needed for. Respondent does not assert that a container-by-container analysis be provided at the pleading phase, only that the Complaint provides a clear and concise factual predicate to identify which containers will be at issue—such as disclosing the shipments, containers, or invoices that comprise its claims. Instead, Complainant relies on vague scoping language such as “at least a substantial majority” that it construes as “appropriate care in pleading.” Resp. at 11. Respondent does not object to the use of such language in isolation, only that use of such equivocal language in conjunction with not setting forth the scope by another means is objectionable and fails to establish the scope of its claims. Without a clear and concise scope, the Complaint lacks the factual predicate needed to assert a pattern of behavior occurring on a normal, customary, and continuous basis and therefore fails to sufficiently plead a practice under Section 41102(c).

To permit Complainant to assert its claim without clearly and concisely identifying the scope would allow Complainant to further develop its case while prejudicing Respondent by forcing Respondent to first undertake discovery to identify the scope before it can begin to develop any defense. Complainant’s reliance on equivocal language, a multi-year period, and unpled allegations of payment during the tolled period does not clearly and concisely define the scope of its claim. Lastly, Complainant’s assertion that identifying the containers at issue is too burdensome at the pleading stage is undermined by its own Response, which attaches Exhibit A containing bills of lading and container numbers.

CONCLUSION

For the foregoing reasons, Complainant’s Complaint should be dismissed with prejudice. In the alternative, the Commission should require the complaint to be amended pursuant to Section 502.62(a)(3)(v) to supply the necessary facts needed to sufficiently plead cognizable claims and their scope.

DATE: May 19, 2026

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 19th day of May 2026, the foregoing Motion to Dismiss and Memorandum in support of same was served via electronic mail on:

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